



# Economics

## Money and Banking

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GCE ADVANCED LEVEL ENGLISH MEDIUM

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## ★ Price

The value of goods and services consider as the price.

There are three important forms relatively to the price of goods and services as absolute price, relative price and as general price level.

### Absolute price



- The market price of a particular good and service is the absolute price.

**Example :**

- The price is Rs. 25 of a pen
- The price is Rs. 100 one kilo of rice

### Relative price



- The ratio between prices is known as relative price.

**Example :**

The price of one kilo grams of rice is four times than a pen(1 : 4)

### Comparision between absolute price and relative price

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### General price level

- The average value of absolute price of all goods and services is known as general price level
  - The general price level is a hypothetical measure of overall prices for some set of goods and services.





## PRICE INDEX

A price index (PI) is a measure of how average price or the general price changes over a period of time, or in other words, it is a way to measure [inflation](#).

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## Inflation

**Continuous increase in General Price level of an economy is known as inflation.**

Inflation is a rise in prices, which can be translated as the decline of [purchasing power](#) over time. The rate at which purchasing power drops can be reflected in the average price increase of a [basket of selected goods](#) and services over some period of time. The rise in prices, which is often expressed as a percentage, means that a unit of currency effectively buys less than it did in prior periods.

While it is easy to measure the price changes of individual products over time, human needs extend beyond just one or two products. Individuals need a big and diversified set of products as well as a host of services for living a comfortable life. They include commodities like food grains, metal, fuel, utilities like electricity and transportation, and services like health care, entertainment, and labor.

Inflation aims to measure the overall impact of price changes for a diversified set of products and services. It allows for a single value representation of the increase in the price level of goods and services in an economy over a period of time.

Prices rise, which means that one unit of money buys fewer goods and services. This loss of purchasing power impacts the cost of living for the common public which ultimately leads to a deceleration in economic growth.



## PH INFLATION CONTINUES TO RISE



### Deflation

Continuous decrease in General Price level of an economy is known as deflation.

Deflation is the reverse of inflation. It refers to a sustained decline in the price level of goods and services

EX- 2019 2020 2021

-5%

-8%

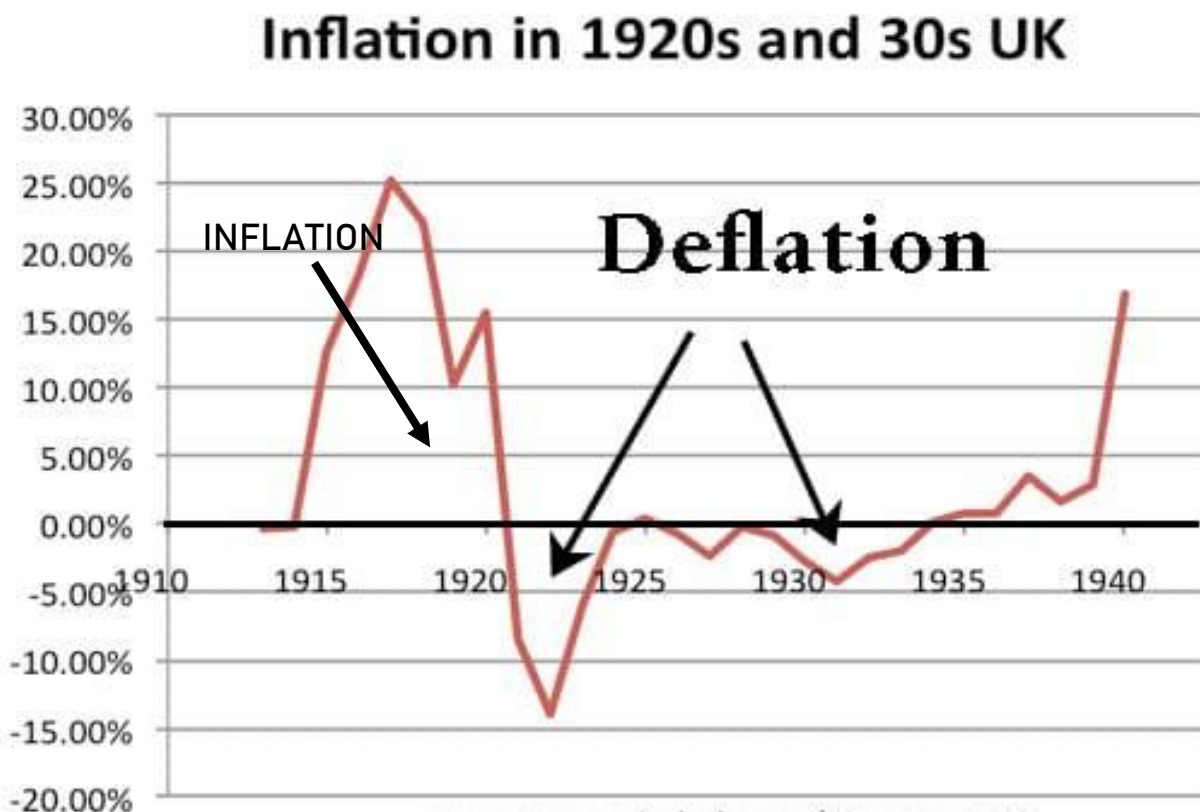
-9%

**Dis-inflation**

Gradual decreases the inflation rate value is known as disinflation.

|     |      |      |      |
|-----|------|------|------|
| Ex- | 2018 | 2019 | 2020 |
|     | 5%   | 4%   | 2%   |

### Summary of above three concepts



### Types of inflation considering the rate of inflation

#### Creeping Inflation

Creeping, or mild, [inflation](#) occurs when prices rise slowly. According to the Federal Reserve, when prices increase by **2% or less**, it benefits economic growth. This kind of **mild** inflation makes consumers expect that prices will keep going up, which boosts demand. Consumers buy now in order to beat higher future prices, and so mild inflation drives economic expansion. For that reason, the Fed sets 2% as its target inflation rate.

### Walking Inflation

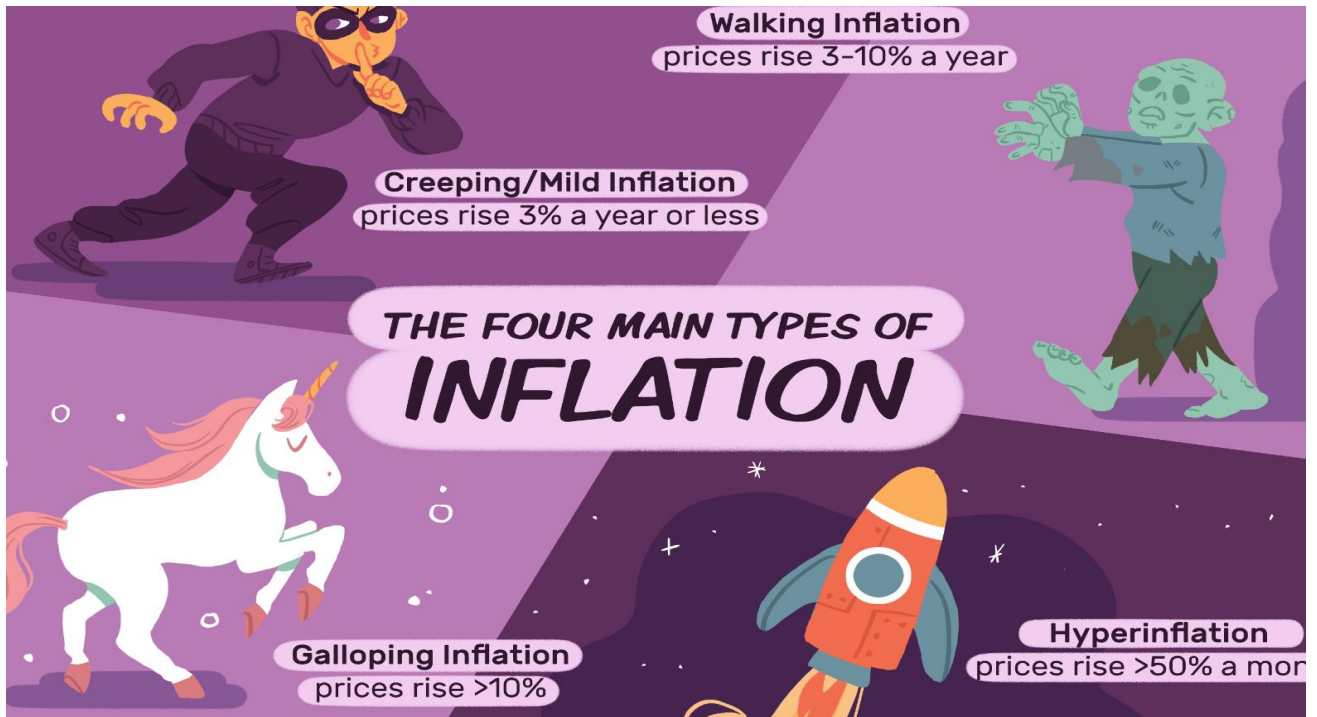
This type of inflation is **faster** than creeping inflation, but not as fast as galloping or hyperinflation. It is harmful to the economy because it heats up economic growth too quickly. People start to buy more than they need in order to avoid tomorrow's much higher prices. **This increased buying drives demand even further, and suppliers often can't keep up.** More importantly, neither can most people's wages. As a result, you can be priced out of common goods and services.

### Galloping Inflation

When inflation rises to **10%** or more, it can be very damaging to the economy. On the other hand **Galloping inflation (also jumping inflation) is one that develops at a rapid pace (dual or triple-digit annual rates), perhaps only for a brief period.** Money loses value so quickly that business and employee income can't keep up with costs and prices. Foreign investors, in turn, avoid the country where this occurs, depriving it of needed capital. The economy becomes unstable, and government leaders lose credibility. For this reason, avoiding galloping inflation is a key objective of many central banks. Hyperinflation

[Hyperinflation](#) occurs when prices skyrocket by more than **50%** per month. It is very **rare**. In fact, most examples of hyperinflation occur when governments print money to pay for wars. One of the most extreme examples is Hungary, **where in 1945, prices doubled every 15 hours.** Venezuela has been fighting a bout of hyperinflation since the early 2010s.





## ★ Reasons for inflation

Accordingly, there are two main approaches which explain reason for inflation.

1. Demand pull inflation
2. Costs push inflation

### 1. Demand pull inflation

Increase in general price level of goods and services due to an increase in demand relative to supply is meant by demand pull inflation.

Demand pull inflation is also known as too much Mooney chasing too few goods.

## **Two approaches of demand pull inflation**

1. Quantity theory of money
2. Keynesian theory

## 1. Quantity theory of money

The quantity theory of money (QTM) also assumes that the quantity of money in an economy has a large influence on its level of economic activity. So, a change in the money supply results in either a change in the price levels or a change in the supply of goods and services, or both.

Quantity theory of money is a theory that presents the behavior of price level based on equation of exchange.

- Quantity theory of money states that there is a direct relationship exists between change in price level and change in stock of money.

### ★ QTM Equation

$$M \cdot V = P \cdot T$$

- $MV$  = value of transactions made with money  
( $M$  = money supply,  $V$  = Velocity of circulation.)
- $PT$  = The total value of transactions of the economy  
( $P$  – Price level,  $T$ . amount of transactions)

$$M \cdot V = P \cdot T$$

Total Transactions

$$\text{Total Transactions} = P \times V$$

Assumptions-

1. Velocity of circulation of money being constant.

Velocity is constant because it is a factor that determine by the constant behavior of people.

2. Volume of transactions being constant.

Volume of transactions is constant because, the economy is in its full employment. (Y also used instead of T)

$$M \quad V = P \quad T$$

Assuming V and T remain constant quantity theory of money shows the increase in price level as proportionate to the stock.

$$M \quad V = P \quad T$$

$$M \times V = P \times T$$

$$20 \times 10 = 5 \times 40$$

$$200 = 200$$

If Money supply increases by 20. Then the Ms(Money supply) is 40

$$40 \times 10 = 5 \times 40$$

$$400 = \text{To balance the equation} \times 40$$

price level also need to increase

$$40 \times 10 = 10 \times 40$$

1-The financial data of an economy are given below.

$$MS = 10$$

$$V = 2$$

$$P = 5$$

Calculate Transaction amount.

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2-The financial data of an economy are given below.

$$MS = 20$$

$$V = 4$$

$$P = 10$$

Calculate Transaction amount.

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3-The financial data of an economy are given below.

$$MS = 100$$

$$V = 10$$

$$P = 500$$

Calculate Transaction amount.

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4-The financial data of an economy are given below.

$$MS = 50$$

$$V = 2$$

$$P = 20$$

Calculate Transaction amount.

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5-The financial data of an economy are given below.

$$MS = 10$$

$$V = 20$$

$$P = 50$$

Calculate Transaction amount.

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6-The financial data of an economy are given below.

$$MS = 40$$

$$V = 10$$

$$P = 10$$

Calculate Transaction amount.

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7-The financial data of an economy are given below.

$$MS = 500$$

$$V = 10$$

$$P = 20$$

Calculate Transaction amount.

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- ❖ Compare between the equation of exchange & the quantity theory of money

The equation of exchange is an economic identity that shows the relationship between money supply, the velocity of money, the price level, and an index of expenditures. English classical economist John Stuart Mill derived the equation of exchange, based on earlier ideas of David Hume. It says that the total amount of money that changes hands in the economy will always equal the total money value of the goods and services that change hands in the economy.

$$M \times V = P \times T$$

In the quantity theory of money, if the velocity of money and real output are assumed to be constant, in order to isolate the relationship between money supply and price level, then any change in the money supply will be reflected by a proportional change in the price level.

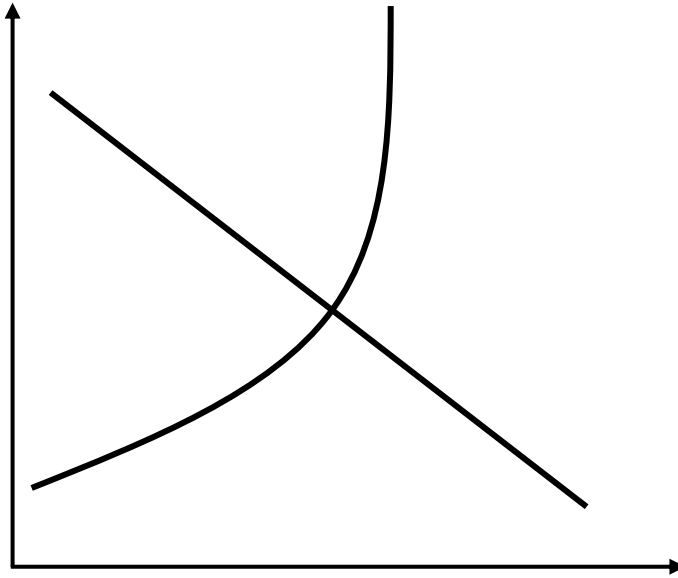
$$M \times V = P \times T$$

### Keynesian theory

Keynesian theory use aggregate income and expenditure analysis to explain.

- ☐ After the economy reach to a macro economic equilibrium, if the aggregate demand increase the price level will beginning to increase because the supply can't be increased.

□ The Keynesian approach of the inflation is shown by the graph below.



According to the above graph  $Y_1$  shows the full employment level of output. If the aggregate demand increase more than the full employment level of output of an economy the general price level increase as  $p_1$ ,  $p_2$  and  $p_3$  and generates demand pull inflation.

★ Reasons for shift the aggregate demand to right.

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Cost push inflation

**Cost push inflation theory states that increase in the general price level would be occurred due to the decrease in the aggregate supply due to an increase in input prices.**

The general price level increase as a result of the struggles of pressure groups.  
Those pressure groups are,

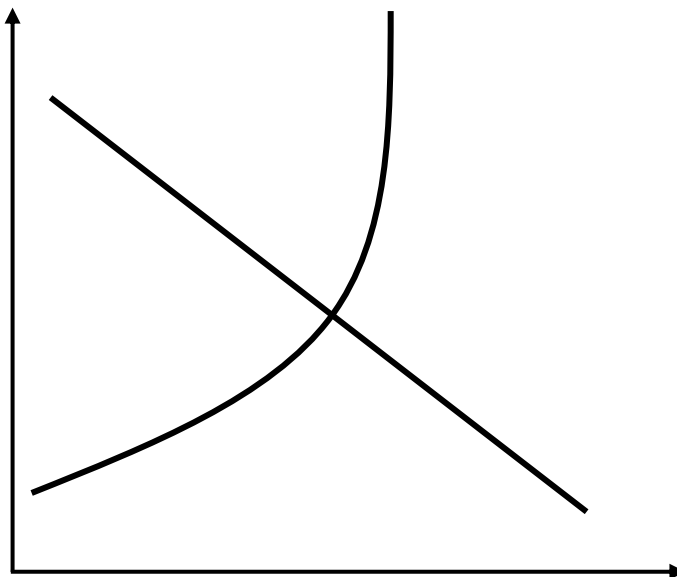
**Organized labour**

As a result of the demanding high wages by the organized labour wages have to be increased and the cost of production increases as result with that the supply decrease and the general price level increases. This type of situations is consider as a wages push inflation.

**Activities of oligopoly firms**

The general price level increase due to the decrease in the supply as a result of the activities of oligopoly firms due to increase in the cost of production when they maximize profits. This can be named as profit push inflation.

Cost push inflation occur with increase in cost of production with an increase in price of inputs and decrease in supply is shown by the diagram below.



According to the above graph at  $Y_3$  level of output price level will be  $P_1$ . The aggregate supply curve shifts to the left from  $AS_1$  to  $AS_2$  due to increase in the cost of production.

★ Favourable and unfavourable effects of inflation.

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★ Inquires money, types of money and functions of money.

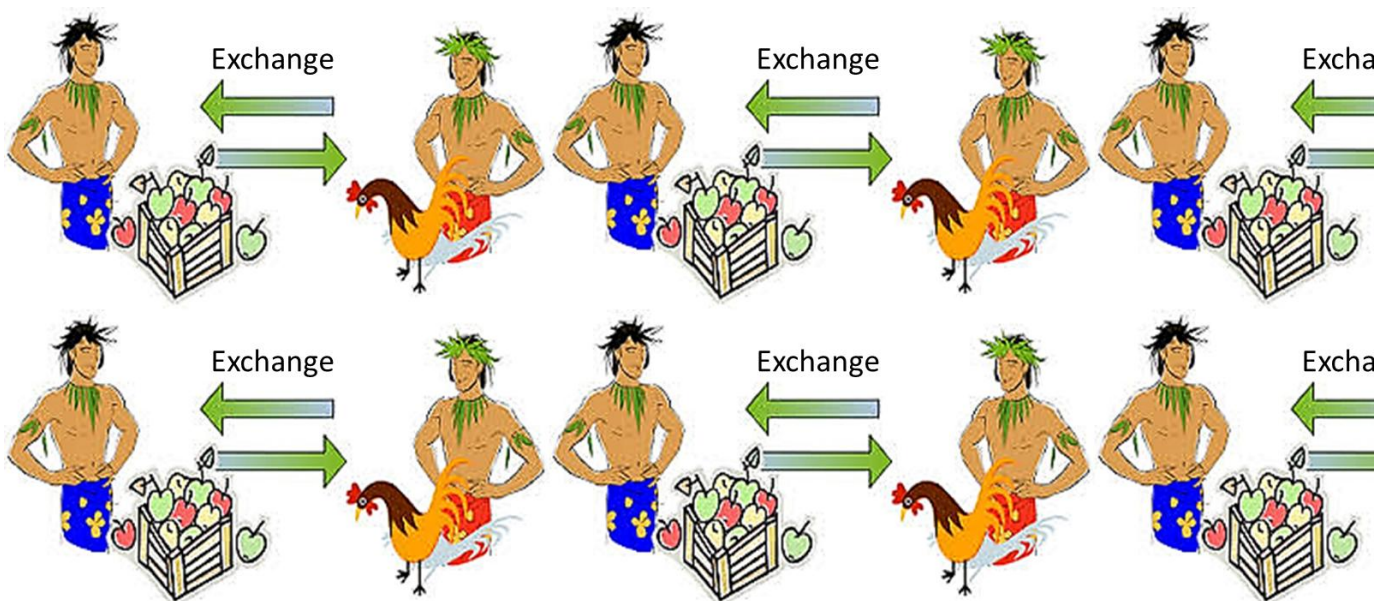
★ Money

Money is anything that is generally accepted as a means of payment in the exchange of goods and services.

★ Before Money

Before the use of money there was a barter economy.

- **Barter** is a type of trade in which goods or services are directly exchanged for other goods and/or services, without the use of money.



## ★ Drawbacks of Barter Systems:

- Lack of double coincidence of wants.
- Lack of a common measure of value.
- Indivisibility of certain goods.
- Difficulty in making deferred payments.
- Difficulty in storing value.

**The weaknesses of the barter economy led to the need for a common medium to use as a medium of exchange.**

### ★ Characteristics of good money.

- General acceptance
- Durability
- Uniformity
- Divisibility
- Portability
- Stability of value
- Legal validity
- Difficulty to counterfeit
- Easy identification

☆ Four main functions of money can be presented as follows

- Act as a medium of exchange

Act as a medium of exchange means that act as an intermediary when exchange the good and services and production factors.

○ Because of this function of money it can be clearly identified from other assets.

The main difficulties of barter system absence of double coincidence, transport, storage, divisibility were solved with the use of money.

- Act as a unit of account

Identify the changes of the value of all goods, services and assets is known as unit of accounts and it make

exchange process more efficient.

- Act as a standard of deferred payment

Ability to settle the past debts at a future date more efficiently is called as a medium of deferred payment.

- Act as a store of wealth

Use of money to store value for future needs without risk and difficulty is known as a store of value.

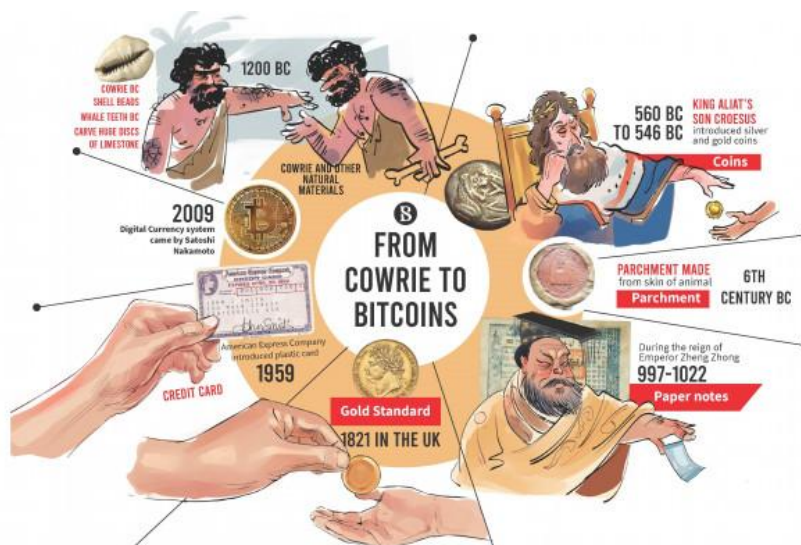
Most persons store value with money because of its perfect liquidity.

Liquidity means how quickly you can get your cash on your hands. In simpler terms, liquidity is to get your money whenever you need it.

**Liquidity means the ability of transferring assets into cash without having a loss.**



## ★ The different types of money.



- **currency**

The coins and notes issued by the financial authority which represent a certain value without internal value is known as currency.

It consists of perfect liquidity.

- **Bank Money**

The money balance of demand deposits which can be used to write cheques is known as bank money.

It consists of perfect liquidity.

- **Near Money**

The highly liquid assets which act as a store of value but which does not act as a medium of exchange are known as near money. Near money can be easily converted to medium of exchange (money).



Examples : Fixed deposits, savings deposits, treasury bills, exchange bills, promissory notes.

- **Money substitutes**

An instrument which act as a temporary medium of exchange and which does not act as a store of value is known as money substitutes.



Examples : credit cards and debit cards

Money substitutes can be used for short term transactions instead of money and cheques.

- **Electronic money /Digital Money**

An electronic card issued by a particular financial institution to buy goods and services at an approved limit of money and which issued granting permission to obtain money when it is needed is known as a credit card.

Credit cards & Debit cards

An electronic card issued by a particular financial institution to buy goods and services at an approved limit of money and which issued granting permission to obtain money when it is needed is known as a credit card.

Due to following reasons. Credit cards are not considered as money.

1. The all activities complying by the money does not complying by credit cards.
2. To use the credit card further after exceeding the maximum limit of it, the loan must be settled to the financial institute.

An instrument which used to withdraw money from ATM or which transfer money to another account when customers deposit their money at a financial institution is known as a debit card.

★ Debit cards are not considered as money as it does not perform all the activities of money.

## ★ Money Demand

The preference of the people to keep money in the form of money itself at a given period is known as demand for money or as liquidity preference.

Three main factors affect demand for money.

### • Transaction motive

**Since there is a gap between a person's income received and expenditure made holding of a money balance for day-to-day transactions is called demand for money on transactionary motive.**

● Demand for money on transaction any motive mainly depend upon a person's income level.



There is a positive relationship exists between income and demand for money on transactionary motive.

### • precautionary motive

**Holding money balances to fulfill unexpected situations which cannot be planned is known**

**as demand for money on precautionary motive.**

**Examples :** Holding of money to use at the situations , accidents and diseases.



- There is a positive relationship exists between income and precautionary motive for money demand.

- Speculative motive

**Demand for money to gain future benefits investing on bonds is called as demand for money on speculative motive.**



- There is a negative (inverse) relationship exists between interest rate and demand for money on assets and bonds.

Following factors affect demand for money.

|                                |                      |
|--------------------------------|----------------------|
| • Real income                  | <input type="text"/> |
| • Future for money             | <input type="text"/> |
| • Interest rate                | <input type="text"/> |
| • Institutional factors        | <input type="text"/> |
| • Price level                  | <input type="text"/> |
| • Financial market innovations | <input type="text"/> |

## ★ Money Supply

The total stock of money circulates among the general public at a given period is called money supply.

● Money supply is also defined as monetary aggregate

The definitions of money supply change with time. There are two main factors which affect that,

- ❖ The changes in the financial structure of an economy
- ❖ The changes in assets with effect liquidity which should consider as money

- Narrow money supply **M1**
  - Broad money supply **M2**
  - Consolidated broad money supply **M2<sub>b</sub>**
  - Very board money supply **M4**
- 

### ★ Narrow money supply

The public currency (notes and coins) and total demand deposits of public with commercial banks are known as narrow money supply.

$$M_1 = C_p + DDP$$

**C<sub>p</sub>** = currency held by the public

**DDP** = demand deposits held by the public at commercial banks.

### ★ Broad money supply

Broad money supply is the sum of savings and

time deposits of public with commercial banks  
and narrow money supply.

$$M_2 = M_1 + TSD_p$$

$M_1$  = Narrow money supply

**$TSD_p$  = savings and time deposits of public with commercial bank**

### ✪ Consolidated Broad money supply

Consolidated broad money supply is the sum of 50% of time and saving deposits of non residence foreign currency accounts and savings deposits of resident at foreign currency banking units.

$$M_2^b = M_2 + TSD_{NRFC} + RD_{FCBU}$$

$M_2$  = Broad money supply

**$TSD_{NRFC}$  = 50% of time and saving deposits of non residence foreign currency**

**$RD_{FCBU}$  = Time and saving deposits of resident at foreign currency banking units.**

### ✪ Very Broad money supply

Very board money supply consist of the sum of time and savings deposits of the public with licensed specialized banks and time and savings deposits of public with registered financial companies.

$$M_4 = M_2^b + LSB + RFC$$

**$LSB$  = time and savings deposits of the public with licensed specialized banks**

**$RFC$  = deposits of public with registered financial comapnies**

## EX 01

Calculate the financial concepts by using the information given below.

- currency held by the public 200
- Demand deposits held by the public at comercial banks.100

1-Find  $M_1$  money supply

## EX 02

Calculate the financial concepts by using the information given below.

- currency held by the public 400

- Demand deposits held by the public at commercial banks. 1000

1-Find M1 money supply

### **EX 03**

Calculate the financial concepts by using the information given below.

- currency held by the public 500
- Demand deposits held by the public at commercial banks. 1500

1-Find M1 money supply

### **EX 04**

Calculate the financial concepts by using the information given below.

- currency held by the public 2000
- Demand deposits held by the public at commercial banks. 4000

1-Find M1 money supply

### **EX 05**

Calculate the financial concepts by using the information given below.

- currency held by the public 300
- Demand deposits held by the public at commercial banks. 500

1-Find M1 money supply

### **EX 06**

Calculate the financial concepts by using the information given below.

- currency held by the public 300
- Demand deposits held by the public at commercial banks. 400

1-Find M1 money supply

### **EX 07**

Calculate the financial concepts by using the information given below.

- currency held by the public 200
- Demand deposits held by the public at commercial banks. 300
- savings and time deposits of public with commercial bank 800

1-Find M1 money supply

2-Find M2 money supply

### EX 08

Calculate the financial concepts by using the information given below.

- currency held by the public 400
- Demand deposits held by the public at commercial banks. 1000
- savings and time deposits of public with commercial bank 500

1-Find M1 money supply

2-Find M2 money supply

### EX 09

Calculate the financial concepts by using the information given below.

- currency held by the public 100
- Demand deposits held by the public at commercial banks. 50
- savings and time deposits of public with commercial bank 25

1-Find M1 money supply

2-Find M2 money supply

### EX 10

Calculate the financial concepts by using the information given below.

- currency held by the public 500
- Demand deposits held by the public at commercial banks. 100
- savings and time deposits of public with commercial bank 200
- Time and saving deposits of non residence foreign currency 50
- Time and saving deposits of resident at foreign currency banking units 150

1-M1

2-M2

3-M2b

### EX 11

Calculate the financial concepts by using the information given below.

- currency held by the public 200
- Demand deposits held by the public at commercial banks. 700
- savings and time deposits of public with commercial bank 300
- Time and saving deposits of non residence foreign currency 250

- Time and saving deposits of resident at foreign currency banking units 50

1-M1

2-M2

3-M2b

### EX 12

Calculate the financial concepts by using the information given below.

- currency held by the public 700
- Demand deposits held by the public at commercial banks. 1500
- savings and time deposits of public with commercial bank 2000
- Time and saving deposits of non residence foreign currency 350
- Time and saving deposits of resident at foreign currency banking units 50

1-M1

2-M2

3-M2b

### EX 13

Calculate the financial concepts by using the information given below.

- currency held by the public 100
- Demand deposits held by the public at commercial banks. 200
- savings and time deposits of public with commercial bank 50
- Time and saving deposits of non residence foreign currency 20
- Time and saving deposits of resident at foreign currency banking units 100
- Time and savings deposits of the public with licensed specialized banks 80
- Deposits of public with registered financial companies 200

1-M1

2-M2

3-M2b

4-M4

### EX 14

Calculate the financial concepts by using the information given below.

- currency held by the public 1200
- Demand deposits held by the public at commercial banks. 2400
- savings and time deposits of public with commercial bank 5300

- Time and saving deposits of non residence foreign currency 2000
- Time and saving deposits of resident at foreign currency banking units 1000
- Time and savings deposits of the public with licensed specialized banks 8000
- Deposits of public with registered financial companies 2000

1-M1

2-M2

3-M2b

4-M4

### EX 15

Calculate the financial concepts by using the information given below.

- currency held by the public 4
- Demand deposits held by the public at commercial banks. 6
- savings and time deposits of public with commercial bank 2
- Time and saving deposits of non residence foreign currency 3
- Time and saving deposits of resident at foreign currency banking units 7
- Time and savings deposits of the public with licensed specialized banks 8
- Deposits of public with registered financial companies 10

1-M1

2-M2

3-M2b

4-M4

### EX 16

Calculate the financial concepts by using the information given below.

- currency held by the public 125
- Demand deposits held by the public at commercial banks. 345
- savings and time deposits of public with commercial bank 200
- Time and saving deposits of non residence foreign currency 175
- Time and saving deposits of resident at foreign currency banking units 850
- Time and savings deposits of the public with licensed specialized banks 710
- Deposits of public with registered financial companies 290

1-M1

2-M2

3-M2b

4-M4

**EX 17**

Calculate the financial concepts by using the information given below.

- currency held by the public 1250
- Demand deposits held by the public at commercial banks. 3450
- savings and time deposits of public with commercial bank 2000
- Time and saving deposits of non residence foreign currency 1750
- Time and saving deposits of resident at foreign currency banking units 8500
- Time and savings deposits of the public with licensed specialized banks 7100
- Deposits of public with registered financial companies 2900

1-M1

2-M2

3-M2b

4-M4

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**Inquires the functions of financial system in Sri Lanka**

**A financial system is the sum of markets, financial institutions, financial instruments and financial infrastructure decisions of the main agents of domestic and foreign households, business firms and the government.**

Financial system components.

- Financial institutions
- Financial market
- Financial instruments
- Financial infrastructures
- Regulatory bodies that supervise the financial institutions

- Financial institutions

Financial institutions are the institutions which supply various financial services and which involve in transactions with various financial instruments.

The structure of financial system in sri lanka

1. Central Bank of Sri Lanka
2. Intermediate financial institutions

1. Institutions which accept deposits and granted permission to involve in banking activities
2. Employee Provident Funds / Pension fund
3. Insurance companies
4. Investment companies
5. Unit trust
6. Leasing companies

3. The firms which supply financial services

1. Vanik banks
2. Fund management institutions
3. Financial Brokers
4. Primary dealers of government securities

4. Institutions of monetary supervision and regulation.

The institutions established by the government to protect monetary system stability through the operation of rules and regulations are known as

### institutions of financial supervision and regulations.

Examples for such institutions are, central Bank of Sri Lanka, securities and exchange commission and Sri Lanka Insurance Board

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Central Bank Report of Sri Lanka has been classified the financial institutions as follows.

- Central bank
- Licensed commercial bank
- Licensed specialized banks
- Other depository financial institutions
  - Registered financial companies
  - Co-operative banks
  - Thrift and credit co-operative society
  - Special financial institutions
  - Special leasing companies
  - Primary dealers
  - Share brokers
  - Unit trusts
  - Intermediaries of market
  - Venture capital investment companies
- Accorded Savings Institutions
  - Insurance companies
  - Employee provident funds
  - Employee trust funds
  - Government services provident funds

Financial market

The aggregate market where financial instruments are purchased and well to fulfill the need of short term and long term funds is known as financial market.

Financial market consists two types,

- Money market
- capital market

### ★Money market★

The market which exchange the short term assets with a maturity of less than one year which earns an interest such as treasury bills, Commercial papers, and certificate of deposits is known as money market.

sub markets of the money market.

- **Inter bank call credit money market**

The market where commercial banks overcome the

disequilibrium situation of its daily liquidity is known as inter bank call money market.

- **Treasury bills market**

A financial instrument used for government loans for short terms is known as treasury bills.

- **Commercial paper's market**

The financial instrument used by the business firms for the formation of short term funds is known as commercial papers. As the use of commercial papers depend upon trust when using securities will not be needed.

- **Inter bank foreign exchange market**

The market which engage in buying and selling of foreign exchange is known as inter bank foreign exchange market.

#### Money Market Financial instruments

Inter bank call credit money

Treasury bills

Commercial paper's

Certificate of deposits

#### ★Capital market★

The market which exchange financial instruments of more than one year maturity and shares of companies is known as capital market.

sub markets of the capital market.

- Sub markets of capital market are as follows.

- **Treasury bonds market**

The main financial instrument which used by the government to obtain medium term and long term loans is known as treasury bonds.

- **Corporate bonds market**

The market that exchange corporate bonds to find medium and long term funds is called corporate bonds market.

- **Share market**

The market which formulate capital for their business activities by selling shares for the public is known as share market. These transactions are made by the Colombo Share Exchange CSE.

### Financial Instruments

The instruments which for financial transactions can be known as financial instruments.

Normally financial instruments can be identified in 3 ways.

- **Savings**

- Demand deposit
- Savings deposit
- Time deposit

- **Credits**

#### The credit instruments issued by the government

- Treasury bills
- Treasury bonds
- Government securities

#### The credit instruments issued by the banks

- Commercial papers
- Debentures
- Certificates of deposits
- Securities based on assets

#### The credit instruments issued by the companies

- Leasing
- Call credit
- Business shares

- **Stock market stocks**

### **Central Bank of Sri Lanka**

Central bank of Sri Lanka was established in 28th of August 1950 by the monetary law act No. 58. It was established following the report presented by the banking economist John Exter.

Central bank was the independent institution established to control Sri Lanka's monetary policy, to provide constantly for monetary activities, and to maintain economic and price stability along with financial stability

Objectives of central bank after 2002

## 1- **Maintaining economic and price stability**

Economic and price stability means constructing of the monetary policy to reach a lower level of inflation. There are some reasons for the importance of economic and price stability.

- Promotion of economic growth
- Efficient distribution of resources
- Reducing the risk of producers, consumers and investors
- Constructing of economic plans

## 2- **Maintaining financial system stability**

Ability to stay stable over any kind of internal or external shock which occur in economic, financial, political or any other field is called financial system stability.

### ★ **Main function of central bank**

- Controlling of monetary policy
- Controlling of exchange rate policy
- Issuing of currency
- Management of official foreign reserves
- Providing of license to primary dealers who engaged in banking financial cooperation activities and government security activities along with regulation and evaluation.
- Act as a banker and financial agent to the government

### ☆ **Other Agency functions**

- Management of public debt
- Control of foreign exchange
- Management and administration of employee provident fund
- Implementing of small-scale financial programmes and management of rural debt schemes

### **Monetary policy**

Controlling of financial instruments to affect over money supply and interest rates to reach economic and price stability along with financial system stability is known

as monetary policy.

☆ Present monetary policy framework has few main objectives.

### ○ Monetary targeting

Monetary targeting aims of reaching final target of price stability while controlling intermediary target of broad money supply, (M<sub>2b</sub>) which combines with reserve money through money multiplier. Reserve money was act as the operational target of this monetary policy. However, it does not act as the operational target anymore. Broad money continue to serve as the key indicative intermediate variable that direct monetary policy.

### ○ Flexible inflation targeting

Flexible inflation targeting means stabilizing of real economy while keeping inflation nearly at inflationary targets. However, tight inflationary policy only focuses on stabilizing inflation without concentrating much on real economy.

## ⊛ Monetary policy instruments.

Instruments used by the central bank to affect over money supply and interest rates to fulfill the objectives of price stability, economic stability and financial stability of the economy are known as monetary policy instruments.

### 1. Quantitative monetary policy instruments

Approaches commonly followed to reduce or to control debt are known as quantitative monetary policy instruments.

### 2. Qualitative monetary policy instruments

Approaches followed by the control to central bank volume or the direction of credit are known as qualitative monetary policy instruments.

### 1. Quantitative monetary policy instruments

Approaches commonly followed to reduce or to control debt are known as quantitative monetary policy instruments.

1. Bank interest rate

2. Statuary reserve ratio
3. Open market operations

01- CENTRAL BANK INTEREST RATE

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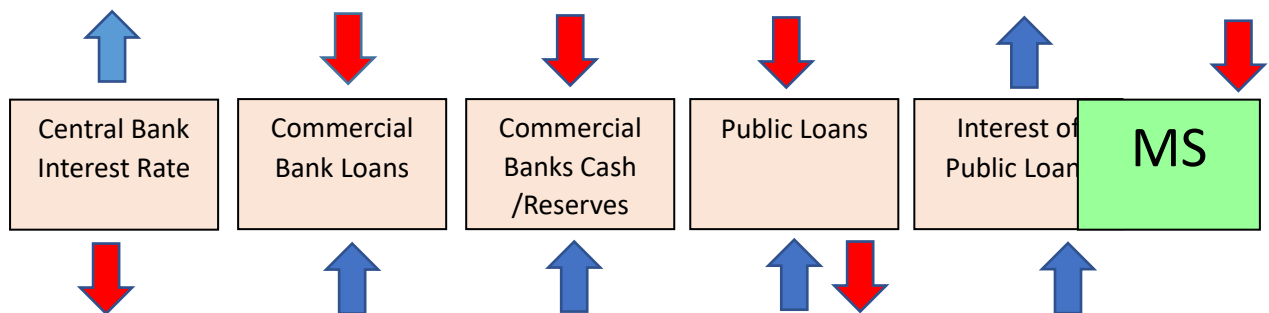
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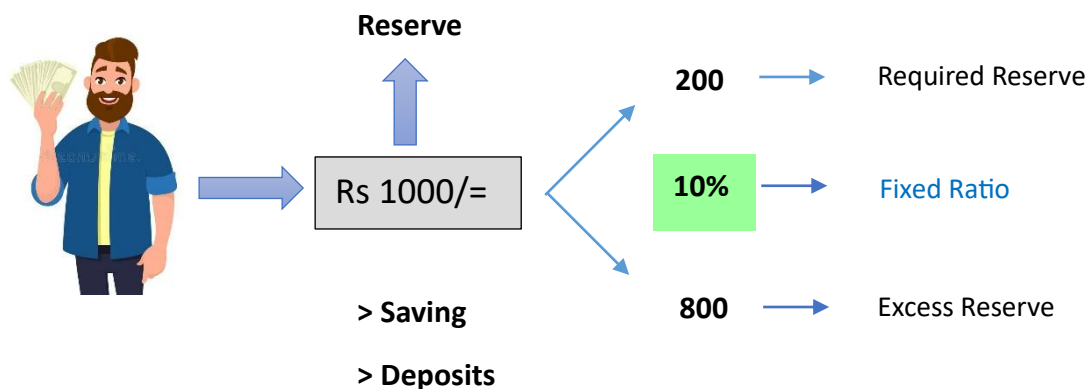


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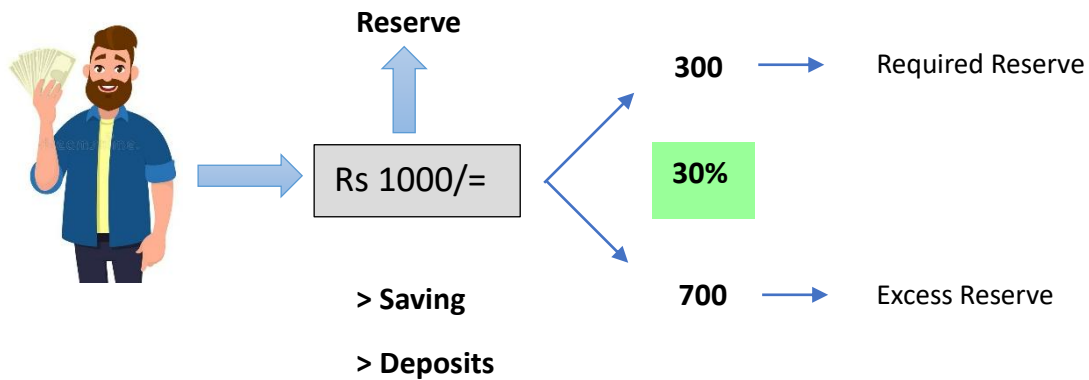
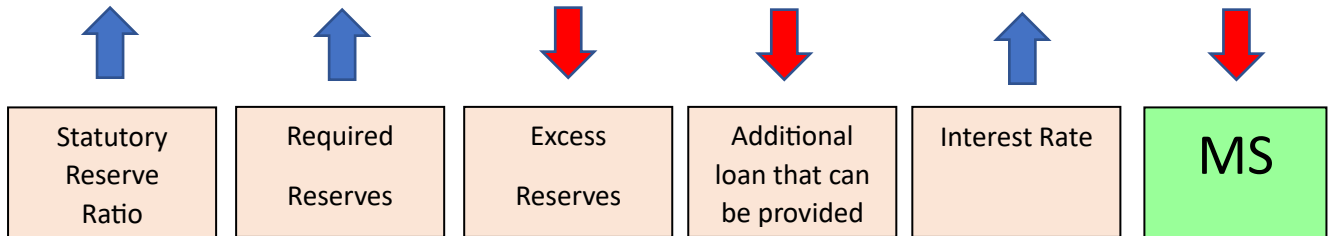
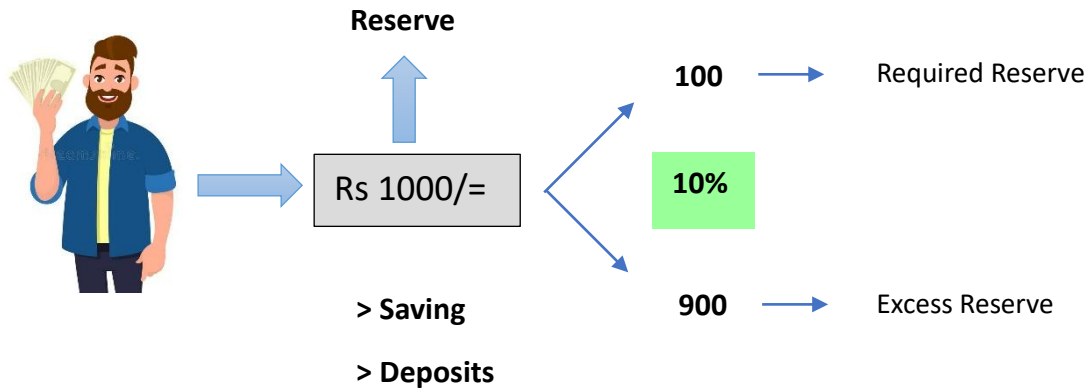


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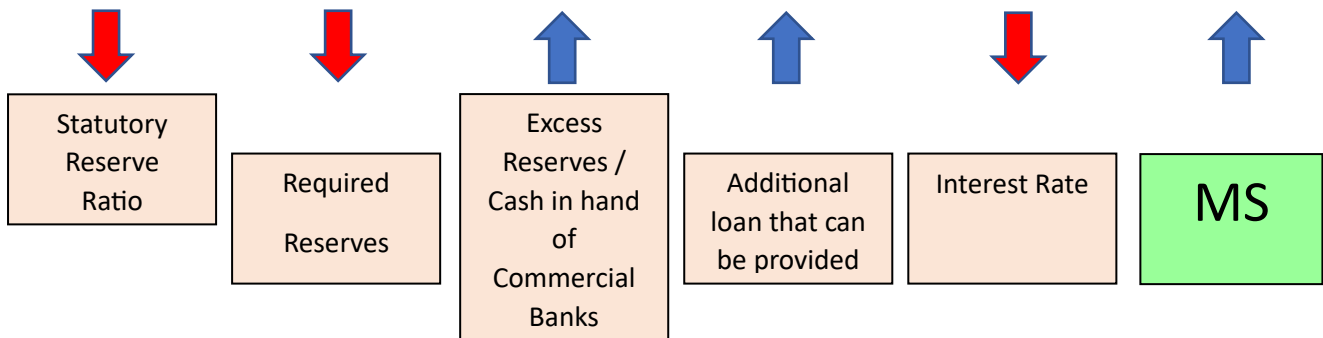
02- STATUTORY RESERVE RATIO



- When SRR Decrease



- When SRR Increase



### 03- Open market operations